Apex Athletics
(Industry 1)

FACILITIES AND EQUIPMENT

Year 10

FACILITY SPACE	North America	Europe-Africa	Asia-Pacific	Latin America	Total (all facilities)
Facility Space Available in Year 9 (000s of pairs)	4,000 pairs	0 pairs	4,000 pairs	0 pairs	8,000 pairs
Completion of New/Additional Space (construction initiated in Y9)	1,000	0	2,000	0	3,000
Facility Space Available (to house construction equipment in Y10)	5,000 pairs	0 pairs	6,000 pairs	0 pairs	11,000 pairs
Beginning Gross Investment in Facility Space ($000s)	$ 76,000	$ 0	$ 76,000	$ 0	$ 152,000
+ Investment in Additional Facility Space (initiated in Y9)	20,000	0	38,000	0	58,000
+ Capital Cost for Improved Working Conditions (CSRC)	0	0	0	0	0
Gross Investment in Facility Space ($000s)	96,000	0	114,000	0	210,000
– Accumulated Depreciation (through Year 9)	17,100	0	9,500	0	26,600
– Current Year 10 Depreciation (2.5% of gross investment)	2,400	0	2,850	0	5,250
Net Investment in Facility Space ($000s)	$ 76,500	$ 0	$ 101,650	$ 0	$ 178,150
Construction Work-In-Progress (new space to be available in Y11)	0 pairs	0 pairs	0 pairs	0 pairs	0 pairs
Capital Cost of Construction Work-In-Progress ($000s)	$ 0	$ 0	$ 0	$ 0	$ 0

FOOTWEAR PRODUCTION EQUIPMENT	North America	Europe-Africa	Asia-Pacific	Latin America	Total (all facilities)
Production Equipment In-Place in Y9 (000s of pairs without OT)	4,000 pairs	0 pairs	4,000 pairs	0 pairs	8,000 pairs
Purchase of Additional Equipment (at the beginning of Year 10) — **New**	0	0	0	0	0
Purchase of Additional Equipment (at the beginning of Year 10) — **Refurbished**	0	0	0	0	0
Equipment Sold (at the beginning of Year 10)	0	0	0	0	0
Production Equipment Available in Y10 (000s of pairs w/o OT)	4,000 pairs	0 pairs	4,000 pairs	0 pairs	8,000 pairs
Percentage of New vs. Refurbished Equipment in Y10	100.0% 0.0%	0.0% 0.0%	0.0% 100.0%	0.0% 0.0%	50.0% 50.0%
Beginning Gross Investment in Equipment ($000s)	$ 80,000	$ 0	$ 57,600	$ 0	$ 137,600
+ Capital Cost of New Equipment (purchased in Year 10)	0	0	0	0	0
+ Capital Cost of Refurbished Equipment (purchased in Y10)	0	0	0	0	0
+ Capital Cost of Production Improvement Options	0	0	0	0	0
+ Capital Cost of Energy Efficiency Initiatives	0	0	0	0	0
– Capital Cost of Equipment Sold	0	0	0	0	0
Gross Investment in Production Equipment	80,000	0	57,600	0	137,600
– Accumulated Depreciation (through Year 9)	40,000	0	17,280	0	57,280
– Current Year 10 Depreciation (10% of gross investment)	8,000	0	5,760	0	13,760
Net Investment in Production Equipment ($000s)	$ 32,000	$ 0	$ 34,560	$ 0	$ 66,560
Production Improvement Options — **New Option Ordered in Year 10**	none	none	none	none	
Production Improvement Options — **Capital Cost of Option Ordered** ($000s)	$ 0	$ 0	$ 0	$ 0	
Options in Place (ordered in prior year)	none	none	none	none	

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Apex Athletics
(Industry 1)

PRODUCTION AND WORKFORCE

Year 10

PRODUCTION STATISTICS		North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
		Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label
Footwear Production (000s of pairs)	Regular-Time Pairs	4,000	0	0	0	4,000	0	0	0	8,000	0
	Overtime Pairs	33	430	0	0	249	444	0	0	282	874
	Rejected Pairs	–282	–30	–0	–0	–429	–44	–0	–0	–711	–74
	Net Footwear Production	3,751	400	0	0	3,820	400	0	0	7,571	800
S/Q Rating of Pairs Produced		4.0★	3.0★	0.0★	0.0★	4.0★	3.0★	0.0★	0.0★		
Number of Models Produced		200	100	0	0	200	100	0	0		
		Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label
Reject Rate (% of regular + overtime pairs)		7.0%	6.9%	0.0%	0.0%	10.1%	10.0%	0.0%	0.0%	8.6%	8.5%
Cost of Rejected Pairs	$ Thousands	6,302	752	0	0	8,175	916	0	0	14,477	1,668
	$ Per Pair	1.68	1.88	0.00	0.00	2.14	2.29	0.00	0.00	1.94	2.12
Production Capability (000s of pairs without OT)		4,000 pairs		0 pairs		4,000 pairs		0 pairs		8,000 pairs	
Total Production (including rejected pairs)		4,463 pairs		0 pairs		4,693 pairs		0 pairs		9,156 pairs	
Utilization of Production Capability (max = 120%)		112%		0%		117%		0%		115%	

WORKFORCE STATISTICS		North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
		Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Total Cost ($000s)	
Workforce Compensation (in Year 10)	Base Wages	34,000	27,200	0	0	12,000	13,716	0	0	40,916	
	Incentive Pay	4,650	3,720	0	0	1,573	1,798	0	0	5,518	
	Fringe Benefits	3,007	2,406	0	0	1,536	1,756	0	0	4,162	
	Total Regular Comp.	41,657	33,326	0	0	15,109	17,270	0	0	50,596	
	Overtime Pay	6,443	5,154	0	0	3,391	3,876	0	0	9,030	
	Total Compensation	48,100	38,480	0	0	18,500	21,146	0	0	59,626	
Best Practices Training Expenditures (in Y10)		600	480	0	0	400	457	0	0	937	
Supervisory Compensation (salary + benefits)		60,000	1,200	0	0	25,000	725	0	0	1,925	
Incentive Pay as % of Regular Compensation		11.2%		0.0%		10.4%		0.0%			
Cumulative Best Practices (total $ per worker)		600		0		400		0			
		Year 9	Year 10	Year 9	Year 10	Year 9	Year 10	Year 9	Year 10	Year 9	Year 10
Workforce Productivity (pairs per worker per year)		5,000	**5,000**	0	**0**	3,500	**3,500**	0	**0**		
Number of Workers Employed		800	**800**	0	**0**	1,143	**1,143**	0	**0**	1,943	**1,943**
Number of Supervisors Employed		20	**20**	0	**0**	29	**29**	0	**0**	49	**49**

BRANDED PRODUCTION COSTS	North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Materials Costs	31,942	8.52	0	0.00	39,261	10.28	0	0.00	71,203	9.40
Production Labor	33,693	8.98	0	0.00	18,663	4.89	0	0.00	52,356	6.92
Best Practices Training	434	0.12	0	0.00	414	0.11	0	0.00	848	0.11
Supervisory Costs	1,085	0.29	0	0.00	656	0.17	0	0.00	1,741	0.23
Enhanced Styling/Features	2,000	0.53	0	0.00	2,000	0.52	0	0.00	4,000	0.53
TQM/6-Sigma Program	4,033	1.08	0	0.00	3,824	1.00	0	0.00	7,857	1.04
Production Run Setup	4,500	1.20	0	0.00	4,500	1.18	0	0.00	9,000	1.19
Facilities Maintenance	2,854	0.76	0	0.00	3,698	0.97	0	0.00	6,552	0.87
Depreciation Expense	9,402	2.51	0	0.00	7,792	2.04	0	0.00	17,194	2.27
Total Production Costs	89,943	23.98	0	0.00	80,808	21.15	0	0.00	170,751	22.55

This section lists costs for branded production only. Private-Label production costs are listed separately in the Private-Label Operations report.

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(Industry 1)

DISTRIBUTION AND WAREHOUSE

Year 10

WAREHOUSE OPERATIONS (branded)	North America			Europe-Africa			Asia-Pacific			Latin America			Total
All pair figures in thousands.	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs
Ending Inventory from Year 9	0	0	0.0★	0	0	0.0★	0	0	0.0★	0	0	0.0★	0
Inventory Clearance (at the beginning of Y10)	0			0			0			0			0
Beginning Year 10 Inventory	0	0	0	0	0	0	0	0	0	0	0	0	0
Incoming Year 10 Shipments from — North America Facility	2,421	200	4.0	1,330	200	4.0	0	0	0.0	0	0	0.0	3,751
Incoming Year 10 Shipments from — Europe-Africa Facility	0	0	0.0	0	0	0.0	0	0	0.0	0	0	0.0	0
Incoming Year 10 Shipments from — Asia-Pacific Facility	0	0	0.0	730	200	4.0	1,545	200	4.0	1,545	200	4.0	3,820
Incoming Year 10 Shipments from — Latin America Facility	0	0	0.0	0	0	0.0	0	0	0.0	0	0	0.0	0
Pairs Available for Sale in Year 10	2,421	200	4.0★	2,060	200	4.0★	1,545	200	4.0★	1,545	200	4.0★	7,571
Pairs Sold — Internet Segment	353	353		300	300		225	225		225	225		1,103
Pairs Sold — Wholesale Segment	1,997	1,997	Actual Branded Demand	1,700	1,700	Actual Branded Demand	1,275	1,275	Actual Branded Demand	1,275	1,275	Actual Branded Demand	6,247
Pairs Sold — Total Branded Sales	2,350	2,350		2,000	2,000		1,500	1,500		1,500	1,500		7,350
Required Inventory (needed to achieve delivery time)	71			60			45			45			221
Inventory Surplus (Shortfall)	0			0			0			0			0
Ending Year 10 Inventory (unsold pairs)	71	200	4.0★	60	200	4.0★	45	200	4.0★	45	200	4.0★	221

COST OF BRANDED PAIRS SOLD	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Cost of Beginning Year 10 Inventory	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
+ Production Cost of Incoming Pairs	58,049	24.70	47,336	23.67	32,687	21.79	32,687	21.79	170,759	23.23
± Exchange Rate Cost Adjustments	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
+ Freight on Incoming Pairs	2,421	1.03	4,120	2.06	1,545	1.03	3,090	2.06	11,176	1.52
+ Import Tariffs on Incoming Pairs	0	0.00	12,360	6.18	0	0.00	15,450	10.30	27,810	3.78
– Cost of Ending Year 10 Inventory	1,773	0.75	1,859	0.93	997	0.66	1,492	0.99	6,121	0.83
Cost of Branded Pairs Sold in Year 10	58,697	24.98	61,957	30.98	33,235	22.16	49,735	33.16	203,624	27.70

WAREHOUSE EXPENSES	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Inventory Storage Costs (on Y9 carried over)	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Packaging & Shipping Costs — Internet	4,413	1.88	3,750	1.88	2,813	1.88	2,813	1.88	13,789	1.88
Packaging & Shipping Costs — Wholesale	6,991	2.97	6,100	3.05	4,825	3.22	4,825	3.22	22,741	3.09
Warehouse Lease and Maintenance	1,000	0.43	1,000	0.50	1,000	0.67	1,000	0.67	4,000	0.54
Total Warehouse Operating Expenses	12,404	5.28	10,850	5.43	8,638	5.76	8,638	5.76	40,530	5.51

INVENTORY CLEARANCE	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Revenues from Pairs Cleared	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
± Exchange Rate Cost Adjustments	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Net Revenues from Pairs Cleared	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Direct Costs — Production / Freight / Tariffs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Direct Costs — Inventory Storage	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Direct Costs — Packaging / Shipping	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Margin Over Direct Costs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00

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MARKETING AND ADMINISTRATIVE EXPENSES

Year10

MARKETING EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Internet Segments	Search Engine Advertising	5,000	14.16	4,500	15.00	4,000	17.78	4,000	17.78	17,500	15.87
	Website Maintenance	1,150	3.26	1,150	3.83	1,150	5.11	1,150	5.11	4,600	4.17
	Brand Advertising (Note 1)	1,502	4.25	1,350	4.50	1,200	5.33	1,125	5.00	5,177	4.69
	Celebrity Endorsements (Note 2)	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Total Internet Marketing	7,652	21.68	7,000	23.33	6,350	28.22	6,275	27.89	27,277	24.73
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Wholesale Segments	Brand Advertising (Note 1)	8,498	4.26	7,650	4.50	6,800	5.33	6,375	5.00	29,323	4.69
	Rebate Redemption	2,496	1.25	2,125	1.25	1,594	1.25	1,594	1.25	7,809	1.25
	On-Time Delivery	1,498	0.75	1,275	0.75	956	0.75	956	0.75	4,685	0.75
	Retailer Support	4,000	2.00	4,000	2.35	1,925	1.51	1,925	1.51	11,850	1.90
	Celebrity Endorsements (Note 2)	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Total Wholesale Marketing	16,492	8.26	15,050	8.85	11,275	8.84	10,850	8.51	53,667	8.59

Note 1: *Brand advertising expenditures in each region are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.*

Note 2: *Expenditures for celebrity endorsements are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.*

ADMINISTRATIVE EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Executive Salaries (Note 1)		1,599	0.68	1,361	0.68	1,021	0.68	1,021	0.68	5,000	0.68
Corporate Overhead (Note 2)		3,197	1.36	2,721	1.36	2,041	1.36	2,041	1.36	10,000	1.36
CSRC Initiatives	Ethics Training / Enforcement	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Cafeteria / On-Site Child Care	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Ventilation / Lighting / Safety	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Supplier Code of Conduct	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Fixed Costs of Idled Prodcution Facility (Note 3)		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Total Administrative Expenses (Note 4)		4,796	2.04	4,082	2.04	3,062	2.04	3,062	2.04	15,000	2.04

Note 1: *Executive salaries totaled $5 million in Year 10 and increase at a rate of 3% annually.*

Note 2: *Corporate overhead expenses include $1.00 for each pair of production capability (without overtime) company-wide and $1 million for each production facility. Corporate overhead will increase or decrease as company-wide footwear production capability increases or decreases. Also, if the company holds celebrity endorsement contract(s) but sells no branded pairs (private-label sales only), then the total annual cost of celebrity contracts is assigned to corporate overhead.*

Note 3: *If no pairs are produced at a production facility in a given year, the annual maintenance and depreciation expenses (fixed costs) for the facility are treated as administrative expenses rather than allocated to the production costs at other active facilities.*

Note 4: *Administrative expenses are calculated for the company in total and then allocated to the branded segments based on each segment's percentage of total branded pairs sold. For accounting purposes and for purpose of profit/loss calculations, no administrative expenses are allocated to private-label sales.*

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PRIVATE–LABEL OPERATIONS

Year 10

CONTRACT OFFERS		North America	Europe-Africa	Asia-Pacific	Latin America	Total
Offers to Private Label Buyers	Offer Price ($ per pair)	32.00	37.00	32.00	37.00	
	Pairs Offered (000s)	200 pairs	200 pairs	200 pairs	200 pairs	800 pairs
	S/Q Rating	3.0★	3.0★	3.0★	3.0★	
	Number of Models	100	100	100	100	
Offer Accepted / Declined		Accepted	Accepted	Accepted	Accepted	
Pairs Produced / Sold (000s)		200 pairs	200 pairs	200 pairs	200 pairs	800 pairs

PRODUCTION AND SHIPPING		North America Facility		Europe-Africa Facility		Asia-Pacific Facility		Latin America Facility		Total (all facilities)	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Production Costs	Materials Costs	2,993	7.48	0	0.00	3,356	8.39	0	0.00	6,349	7.94
	Labor Costs	4,787	11.97	0	0.00	2,483	6.21	0	0.00	7,270	9.09
	Best Practices Training	46	0.12	0	0.00	43	0.11	0	0.00	89	0.11
	Supervisory Costs	115	0.29	0	0.00	69	0.17	0	0.00	184	0.23
	Enhanced Styling / Features	600	1.50	0	0.00	1,200	3.00	0	0.00	1,800	2.25
	TQM/6-Sigma Program	430	1.08	0	0.00	400	1.00	0	0.00	830	1.04
	Production Run Setup	500	1.25	0	0.00	500	1.25	0	0.00	1,000	1.25
	Facilities Maintenance	303	0.76	0	0.00	388	0.97	0	0.00	691	0.86
	Depreciation Expense	998	2.50	0	0.00	818	2.05	0	0.00	1,816	2.27
	Total Production Costs	10,772	26.93	0	0.00	9,257	23.14	0	0.00	20,029	25.04
Private-Label Production (000s of pairs)	Regular-Time Pairs	0 pairs		0 pairs		0 pairs		0 pairs		0 pairs	
	Overtime Pairs	430		0		444		0		874	
	Rejected Pairs	–30 (6.9%)		–0 (0.0%)		–44 (10.0%)		–0 (0.0%)		–74 (8.5%)	
	Net Production	400 pairs		0 pairs		400 pairs		0 pairs		800 pairs	
Shipments To (000s of pairs)	N.A. Warehouse	200 pairs		0 pairs		0 pairs		0 pairs		200 pairs	
	E-A Warehouse	200		0		0		0		200	
	A-P Warehouse	0		0		200		0		200	
	L.A. Warehouse	0 pairs		0 pairs		200 pairs		0 pairs		200 pairs	

REVENUES / COSTS / MARGINS		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Private-Label Revenues		6,400	32.00	7,400	37.00	6,400	32.00	7,400	37.00	27,600	34.50
± Exchange Rate Adjustments		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Net Private-Label Revenues		6,400	32.00	7,400	37.00	6,400	32.00	7,400	37.00	27,600	34.50
Direct Costs	Production Costs	5,386	26.93	5,386	26.93	4,628	23.14	4,628	23.14	20,028	25.04
	± Exchange Rate Adjustments	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Freight	200	1.00	400	2.00	200	1.00	400	2.00	1,200	1.50
	Import Tariffs	0	0.00	1,200	6.00	0	0.00	2,000	10.00	3,200	4.00
	Packaging / Shipping	200	1.00	200	1.00	200	1.00	200	1.00	800	1.00
Margin Over Direct Costs		614	3.07	214	1.07	1,372	6.86	172	0.86	2,372	2.97

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INCOME STATEMENT

Year 10

CONSOLIDATED INCOME STATEMENT		North America	Europe-Africa	Asia-Pacific	Latin America	Company Total
Segment Revenues	Internet	28,064	25,350	17,888	19,013	90,315
	Wholesale (see Note 1)	95,856	90,100	61,200	67,575	314,731
	Private-Label	6,400	7,400	6,400	7,400	27,600
Gross Revenues from Footwear Sales		130,320	122,850	85,488	93,988	432,646
± Exchange Rate Adjustments		0	0	0	0	0
Net Revenues from Footwear Sales		130,320	122,850	85,488	93,988	432,646
Operating Costs	Cost of Pairs Sold (see Note 1)	64,283	68,944	38,063	56,763	228,053
	Warehouse Expenses	12,604	11,050	8,838	8,838	41,330
	Marketing Expenses	24,144	22,050	17,625	17,125	80,944
	Administrative Expenses	4,796	4,082	3,062	3,062	15,002
Operating Profit (Loss)		24,493	16,724	17,900	8,200	67,317
Interest Income (Expense)						-10,174
Other Income or (Expense) (see Note 2)						0
Pre-Tax Profit (Loss)						57,143
Income Taxes (see Note 3)						17,143
Net Profit (Loss)						40,000

Profitability and Payout	Year9	Year10
Earnings Per Share	$2.00	**$2.00**
Dividends Per Share	$1.00	**$1.00**

Note 1: These items also include revenues collected from and costs associated with inventory clearance at the beginning of the year. For more details on inventory clearance, see the last section of the Distribution and Warehouse report.

Note 2: This item includes charitable contributions and/or instructor-awarded refunds and/or instructor-imposed fines (appearing as negative).

Note 3: The income tax rate is 30%. If a net loss was recorded in the prior year, the loss is carried forward and may offset some or all taxable income in the current year and reduce current-year income taxes.

BRANDED MARKET PERFORMANCE

INTERNET MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Revenues from Internet Sales		23,651	67.00	21,600	72.00	15,075	67.00	16,200	72.00	76,526	69.38
± Exchange Rate Adjustments		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Gross Internet Revenues		23,651	67.00	21,600	72.00	15,075	67.00	16,200	72.00	76,526	69.38
Customer-Paid Shipping Fees		4,413	12.50	3,750	12.50	2,813	12.50	2,813	12.50	13,789	12.50
Net Internet Revenues		28,064	79.50	25,350	84.50	17,888	79.50	19,013	84.50	90,315	81.88
Operating Costs	Cost of Pairs Sold	8,817	24.98	9,294	30.98	4,985	22.16	7,460	33.16	30,556	27.70
	Warehouse Expenses	4,563	12.93	3,900	13.00	2,963	13.17	2,963	13.17	14,389	13.05
	Marketing Expenses	7,652	21.68	7,000	23.33	6,350	28.22	6,275	27.89	27,277	24.73
	Administrative Expenses	720	2.04	612	2.04	459	2.04	459	2.04	2,250	2.04
Operating Profit (Loss)		6,312	17.88	4,544	15.15	3,131	13.92	1,856	8.25	15,843	14.36
		Year9	**Year10**	Year9	**Year10**	Year9	**Year10**	Year9	**Year10**	Year 9	**Year10**
Segment Statistics	Pairs Sold (000s)	353	**353**	300	**300**	225	**225**	225	**225**	1,103	**1,103**
	Market Share	10.0%	**10.0%**	10.0%	**10.0%**	10.0%	**10.0%**	10.0%	**10.0%**	10.0%	**10.0%**
	Operating Profit Margin	25.4%	**22.5%**	18.0%	**17.9%**	22.8%	**17.5%**	17.6%	**9.8%**	21.2%	**17.5%**

WHOLESALE MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross WHolesale Revenues		95,856	48.00	90,100	53.00	61,200	48.00	67,575	53.00	314,731	50.38
± Exchange Rate Adjustments		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Net Wholesale Revenues		95,856	48.00	90,100	53.00	61,200	48.00	67,575	53.00	314,731	50.38
Operating Costs	Cost of Pairs Sold	49,880	24.98	52,664	30.98	28,250	22.16	42,275	33.16	173,069	27.70
	Warehouse Expenses	7,841	3.93	6,950	4.09	5,675	4.45	5,675	4.45	26,141	4.18
	Marketing Expenses	16,492	8.26	15,050	8.85	11,275	8.84	10,850	8.51	53,667	8.59
	Administrative Expenses	4,076	2.04	3,470	2.04	2,603	2.04	2,603	2.04	12,752	2.04
Operating Profit (Loss)		17,567	8.80	11,966	7.04	13,397	10.51	6,172	4.84	49,102	7.86
		Year9	**Year10**	Year9	**Year10**	Year9	**Year10**	Year9	**Year10**	Year9	**Year10**
Segment Statistics	Pairs Sold (000s)	1,997	**1,997**	1,700	**1,700**	1,275	**1,275**	1,275	**1,275**	6,247	**6,247**
	Market Share	10.0%	**10.0%**	10.0%	**10.0%**	10.0%	**10.0%**	10.0%	**10.0%**	10.0%	**10.0%**
	Operating Profit Margin	13.0%	**18.3%**	4.4%	**13.3%**	13.7%	**21.9%**	7.5%	**9.1%**	9.5%	**15.6%**

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Apex Athletics
(Industry 1)

Balance Sheet & Cash Flow Statement

Year 10

BALANCE SHEET

ASSETS	$000s
Cash On Hand	6,074
Accounts Receivable (see Note 1)	85,583
Footwear Inventories	6,121
Total Current Assets	97,778
Net Investment in Facilities and Equipment	244,710
Construction Work In Progress (for new space)	0
Production Improvement Options On Order	0
Total Fixed Assets (see Note 2)	244,710
Total Assets	342,488

LIABILITIES	$000s
Accounts Payable (see Note 3)	19,388
1-Year Bank Loan Payable (see Note 4)	0
Current Portion of Long-Term Bank Loans (see Note 5)	15,900
Overdraft Loan Payable (see Note 6)	0
Total Current Liabilities	35,288
Long Term Bank Loans Outstanding (see Note 7)	97,200
Total Liabilities	132,488

SHAREHOLDER EQUITY	Beginning Balance	Change in Y10	$000s
Common Stock (see Note 8)	20,000	0	20,000
Additional Capital (see Note 9)	110,000	0	110,000
Retained Earnings (see Note 10)	60,000	20,000	80,000
Total Shareholder Equity	190,000	20,000	210,000
Return On Average Shareholder Equity (see Note 11)			20.0%

Note 1: Of the $342,331 of wholesale and private-label net revenues reported on the Y10 income statement, 75% was collected in Y10 and 25% will be collected in Y11.

Note 2: For more details on fixed asset investment, see the Facilities and Equipment report (page 1 of these Company Operating Reports).

Note 3: Of the $77,552 of materials used for footwear production in Year 10, 75% was paid for in Year 10 and 25% will be paid for in Year 11.

Note 4: The company's Year 10 interest rate for a 1-year bank loan was 5.0%.

Note 5: This item represents the principal portion of all outstanding 5-year and 10-year bank loans due to be repaid in the upcoming year (Year 11).

Note 6: Loans for overdrafts are incurred automatically to prevent a negative year-end cash balance at an interest rate that is 2.0% higher than the company's 1-year loan rate.

Note 7: Long-term bank loans outstanding:

Loan Number	Initial Year	Original Principal	Interest Rate	Term	Out-standing Principal	Annual Principal Payment	Year11 Interest Payable
1	Y4	60,000	8.2%	10-yr	24,000	6,000	1,968
2	Y9	99,000	7.7%	10-yr	89,100	9,900	6,861
3							
4							
5							
6							
7							
8							
9							
10							
11							
12							
13							
14							
15							
16							

Note 8: There are 20,000k shares of stock issued and outstanding at a par value of $1.00 per share. The authorized maximum number of shares outstanding is 50,000k.

Note 9: Additional Capital represents the dollar amount over and above par value that share-holders have paid to purchase new shares of common stock.

Note 10: Retained Earnings is a summation of all after-tax profits the company has earned that have not been distributed to shareholders in the form of dividends.

Note 11: The formula for Return On Average Shareholder Equity is:

$$\frac{\text{After-Tax Profit}}{\text{(Beginning Equity + Ending Equity)} \div 2}$$

CASH FLOW STATEMENT

CASH INFLOWS IN YEAR 10		$000s
Beginning Cash Balance (carried over from prior year)		400
Cash Inflows	Receipts from Footwear Sales (see Note 1)	421,433
	Bank Loans — 1-Year Loan	0
	5-Year Loan	0
	10-Year Loan	0
	Stock Issue (0 shares issued)	0
	Sale of Production Equipment	0
	Interest Income on Y9 Cash Balance (sobre el saldo de A9)	8
	Loan to Cover Overdraft (1-year loan @ 9.0%)	0
	Cash Refund (awarded by instructor)	0
Total Cash Available from All Sources		421,841

CASH OUTLAYS IN YEAR 10		$000s
Cash Outlays	Payments to Materials Suppliers (see Note 2)	76,164
	Production Expenses (excluding depreciation – see Note 3)	94,218
	Distribution and Warehouse Expenses	84,716
	Marketing and Administrative Expenses	95,944
	Capital Outlays — Facility Expansion (new space)	0
	Equipment Purchases	0
	Production Imp. Options	0
	Energy Efficiency Initiatives (RSCC)	0
	Bank Loan Repayment (see Note 4) — 1-Year Loan	1,500
	5-Year Loans	0
	10-Year Loans	15,900
	Interest Payments — Bank Loans	10,182
	Y9 Overdraft Loan	0
	Stock Repurchase (0 shares repurchased)	0
	Income Tax Payments	17,143
	Dividend Payments to Shareholders	20,000
	Charitable Contributions	0
	Cash Fine (assessed by instructor)	0
Total Cash Outlays		415,767
Net Cash Balance (at the end of Year 10)		6,074

Note 1: This item consists of all internet revenues recorded in Y10, 75% of wholesale and private-label revenues recorded in Y10, and accounts receivable from Y9 sales.

Note 2: This item consists of 75% of the cost of Y10 production materials and 25% of Y9 production materials costs due to a 3-month lag in payments to materials suppliers.

Note 3: This item includes all Y10 production-related expenses (adjusted for exchange rate cost impacts) except for depreciation (which is a non-cash accounting charge).

Note 4: All 1-year loans (including overdraft loans) received in Year 9 were repaid in full in Year 10. Interest on all 1-year loans received in Year 9 was also paid in Year 10.

SELECTED FINANCIAL STATISTICS

Credit Rating Measures	Interest Coverage Ratio (oper. profit ÷ interest exp.)	6.62
	Debt to Assets Ratio (total liabilities ÷ total assets)	0.39
	Default Risk Ratio (cash flow from ops ÷ principal paymts)	2.24
	Risk of Default (see Note 1)	Medium
	Credit Rating (at the end of Year 10)	B
Current Ratio (current assets ÷ current liabilities)		2.77
Operating Profit Margin (operating profit ÷ net sales revenues)		15.6%
Net Profit Margin (net profit ÷ net sales revenues)		9.2%
Dividend Payout (dividends per share ÷ earnings per share)		50.0%
Cash Flow from Operations (after-tax profit + depreciation)		39,010
Total Principal Payments ($000s to be paid in Year 10)		17,400

Note 1: A default risk ratio of 4.00 or higher results in a Low default risk, 2.00 to 4.00 results in a Meduim default risk, and below 2.00 results in a High default risk.

Note: Because demand and sales figures are rounded to the nearest 1000 pairs, minor anomalies in the company's financial statements may occasionally occur. Any rounding inconsistencies that do appear will be smaller than ±50 and will likely average-out over time. Such rounding anomalies have no significant impact on company performance.

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